Intuitive Surgical (ISRG)

Razor-and-Blades Compounder

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*Razor-and-Blades Compounder. Recurring revenue ~85%; da Vinci installed base of 12,094 systems grows 12% a year; Ion procedures up 31%; surgeon training and switching costs form a wide moat [Q3'26 ER]. De-rated Multiple. Forward P/E near 30x against a 5-year average of 52.5x, the cheapest in seven years, after the post-earnings slide to $391.40 [Press Oct-26]. Priced for Perfection Anyway. Our DCF base of $352.12 sits 10% below the after-hours price and the reverse DCF says the market prices 24.8% annual revenue growth, above our 14% bull case, so new money still pays for growth that is not assured [DCF 20-Oct-26]. Our framework screens it as a **Hold** with a $352.49 blended target, 10% below the current price.*

HOLD	$352.49	-10%	$391.40
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Razor-and-Blades Compounder. Recurring revenue ~85%; da Vinci installed base of 12,094 systems grows 12% a year; Ion procedures up 31%; surgeon training and switching costs form a wide moat [Q3'26 ER].

Executive summary

De-rated Multiple. Forward P/E near 30x against a 5-year average of 52.5x, the cheapest in seven years, after the post-earnings slide to $391.40 [Press Oct-26].

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$3.05B	+15%	546 (315 dv5)	12,094 systems	19.4%	$3.00
REVENUE (Q3 2026)	WORLDWIDE PROCEDURES	DA VINCI PLACEMENTS	INSTALLED BASE	GAAP OP MARGIN (Q3 2026)	NON-GAAP EPS (Q3 2026)

The moat is structural

Procedures up 15% with the installed base compounding at 12%; customers averaged over 10,000 procedures per day in the quarter (CEO)

Three scenarios make the valuation range explicit

The DCF values Intuitive Surgical across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$243.50**	-38%
Base	50%	**$352.12**	-10%
Bull	25%	**$462.20**	+18%

Bear ($243.50, -38%) marks the downside case (growth disappoints, multiple compresses); **Bull ($462.20, +18%)** marks the upside case (execution compounds, multiple rerates).

The probability-blended target implies -10% upside

Blended target: $352.49 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -10% upside from the $391.40 reference price.

$352.49

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

NTM P/E ~30x [Val 20-Oct-26] EV/Revenue (TTM) ~12.7x [Val 20-Oct-26] DCF Base $352.12, Blended $363.42 [DCF 20-Oct-26] Cheapest multiple in seven years on absolute metrics; DCF still implies 10% downside to the post-earnings price. Quality is real, but so is the price.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $352.49 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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da Vinci 5 upgrade cycle: 315 dv5 placements of 546 total, the premium platform now driving placement mix and utilization [Q3'26 ER]

Ion lung biopsy engine: procedures up 31% and installed base of 1,152 systems up 21%, a second high-growth franchise [Q3'26 ER]

What to monitor

Jan-2027. Q4 2026 Earnings: the first clean read on the procedure guide and whether US growth reaccelerates; FY2027 procedure outlook resets the growth debate.

Pending. Antitrust Settlement Approval (Negative Overhang): court ruling on the $450M proposed settlement; approval closes the litigation chapter, denial or delay extends it.

2027. Extended Use Program (Two-Sided): lowers hospital cost per procedure, which should drive volume but mechanically lowers Intuitive's revenue per procedure. Sizing undisclosed.

Ongoing. SP Indication Expansion (Positive): CE mark for transvaginal gynecology in Sep 2026; SP and Ion utilization gains widen procedure volumes without new hospital capex.

$3.05B	+15%	546 (315 dv5)	12,094 systems
REVENUE (Q3 2026)	WORLDWIDE PROCEDURES	DA VINCI PLACEMENTS	INSTALLED BASE

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$10.1B	$6.6B	N/A
2024	$8.4B	$5.6B	N/A
2023	$7.1B	$4.7B	N/A
2022	$6.2B	$4.2B	N/A

Key risks

Antitrust Settlement Overhang. $450M pre-tax settlement ($347M net, $0.99/share) of the antitrust class action still requires court approval; a one-time hit now, but the litigation overhang is not fully behind the company [Q3'26 ER]. [Q3'26 ER]

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US Procedure Slowdown. US procedure growth has cooled on ACA subsidy expiry and GLP-1 pressure on bariatrics; FY2026 guide was narrowed to the midpoint of 14-15% with no raise, which the market punished [Q3'26 ER]. [Q3'26 ER]

Valuation. Premium multiple; our DCF base of $352.12 is 10% below the post-earnings price and the reverse DCF calls the implied 24.8% revenue CAGR euphoric, above our 14% bull case. [DCF 20-Oct-26]

Competition. Medtronic Hugo and J&J push into robotic surgery; China placements remain challenged by competitive and pricing dynamics. [Press Oct-26]

Investment view

Q4 procedure growth above the guided 14-15% range or Extended Use detail that expands volume without denting revenue per procedure would lift Growth and Catalysts. Court approval of the antitrust settlement clears an overhang. A cut to the procedure guide or US deceleration would cut Trend, and the valuation pillar depends on the multiple holding while DCF downside sits at 10%.

Hold. The $352.49 blended target implies -10% upside, balancing the $243.50 / $352.12 / $462.20 Bear / Base / Bull targets.

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Upcoming catalysts

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